

CashEase Nigeria

Feasibility Study

Owned multi-service cash kiosks on livelihood paths — parks, markets, busy petrol. Note-breaking, POS cash-out, airtime and bills. The company owns the machines; a bank supplies small notes and settlement. One machine per counted pitch. Raise ₦1.85 billion for 350 kiosks, then fund 2,000. National hubs follow proven doors.

Prepared	August 2026 · v2.2
Horizon	6 years (2027–2032) · 350 → 2,000 → earned scale
Opening equity	₦1.85 billion for 350 kiosks (planning case)
Planning unit	180 tx/day · ₦100 blended fee · break-even 89 tx/day
First operating scale	Hold at 2,000 with an ₦8–12 billion facility (DSCR ~2×)
Classification	Planning document — not financial, legal, tax or investment advice

Independent Multi-Service Cash Kiosks

Note-breaking · POS cash-out · Airtime and bills

Nigeria — Lagos / Ogun first, then national hubs

CashEase deploys owned kiosks on the paths where ordinary people already work in cash: parks, markets, and busy petrol corridors. Each box breaks notes, pays out POS cash, and sells airtime and bills. Banks supply small notes and settlement. The company owns the machines. Scale follows proven doors: 350, then 2,000, then national hubs.

Field	Detail
Working name	CashEase Nigeria Ltd (legal name to be confirmed)
Prepared	August 2026 · v2.1
Horizon	Year 1–Year 6 (2027–2032)
Currency	Nigerian naira (₦), nominal
Planning case	180 tx/day, 92% uptime, ₦100 blended fee, bank cash from Year 2
Classification	Confidential planning document

Purpose. This study sets out the operating plan, market, sites, technology, bank and regulatory path, six-year financials, funding, cost-benefit, risk, and the capital to commit now.

Disclaimer. Figures are illustrative projections on stated assumptions. They are not guarantees. Independent professional advice is required before capital is committed. This document is not financial, legal, tax or investment advice.

Contents

1. The Plan
2. Business Model
3. Market
4. Product, Technology & Supply
5. Locations, Cash & Operations
6. Banks, Regulation & Policy
7. Growth Roadmap
8. Financial Plan
9. Funding
10. Cost-Benefit
11. Risk
12. Environmental, Social & Governance
13. Implementation
14. Appendices

1. The Plan

Nigeria's last mile still runs on cash. The customer is the **mass of ordinary people who earn and spend in notes** — including the poor, who are more cash-dependent, not less. Conductors, traders and artisans need ₦100s and ₦200s all day. Population is the strength of the market. Dedicated change kiosks are a **new category**, so there is little historical “tx per kiosk” data; that is unmeasured, not disproven.

CashEase meets the need as a **convenience on an existing trip**: the park gate, the market door, the busy station. Phase 1 is how a new mass market is **proven on the path the masses already walk**.

The business, in one page

1. **Own 100% of the kiosks.** They are company assets and later collateral.
2. **Sell a bundle.** Note-breaking is the reason to stop; POS cash-out, airtime and bills pay the rent.
3. **Sit on livelihood paths.** Markets, motor parks, petrol on those roads. One machine per counted pad.
4. **Rent space like any shop.** Ordinary leases. Hosts get rent and maybe 5-10% of that site's net.
5. **Partner with a bank for cash,** after live volumes: they load small notes and settle POS; they take a share of eligible fees; they do not buy the hardware.
6. **Build 350, then 2,000.** That grid is the demand file for a new market. National hubs follow when those doors hold traffic.
7. **Use policy as support.** Alignment with cash circulation and inclusion helps a bank or BOI conversation. It is not the commercial contract.

Opening numbers — planning case

Metric	Value
First commitment	350 kiosks
Opening equity	₦1.85 billion (₦1.35bn machines + ₦420m float + ₦80m HQ/licences)
Unit CapEx	₦3.50m hardware/software + ₦0.35m fit-out = ₦3.85m
Phase 1 float	₦1.20m per kiosk (self-funded; bank takes most of this from Year 2)
Traffic assumption	180 transactions/day · 92% uptime · ₦100 blended fee
Gross per kiosk / month	₦504,000
EBITDA break-even	89 tx/day (51% margin of safety vs 180)
Phase 1 as a six-year hold	IRR 11% · NPV at 22% -₦448m (proof engine, not the wealth case)
Hold at 2,000	IRR 21% · ~ ₦1.2bn NPAT/year · NPV at 22% -₦89m unlevered
₦8bn facility on a 2,000 hold	Equity NPV +₦2.50bn · min DSCR 1.96x
Held 2,000 run-rate	~ ₦12bn gross / ~ ₦1.2bn NPAT
20,000 good doors, Year 6	~ ₦106bn gross / ~ ₦10bn NPAT — an earned option

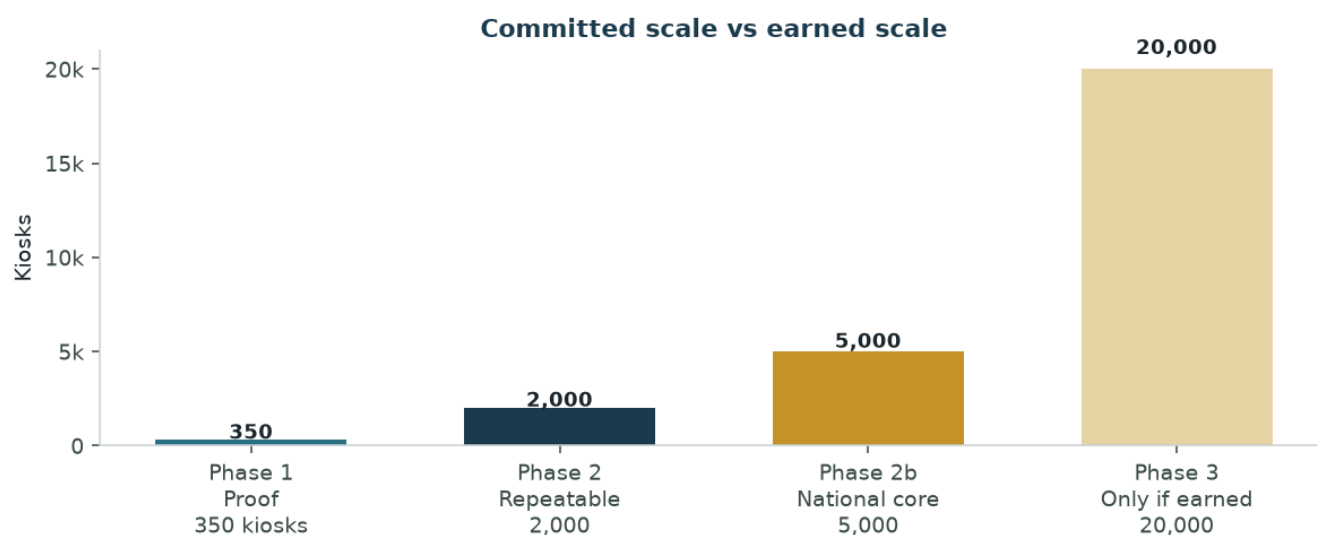


Figure: Capital committed now is Phase 1. 2,000 is the first operating scale. 5,000 and 20,000 follow gates, not a single purchase order.

Feasibility

Question	Plan
Is the model sound?	Yes. Owned multi-service kiosks on cash paths, bank-supplied float.
Phase 1 (350, ₦1.85bn)	Go. First grid for a new mass-cash category: sites, OEM, and books.
2,000 kiosks	Go after Phase 1 gates , with an ₦8-12bn facility and a bank cash SLA.
20,000 kiosks	Later option if unit traffic still holds in new hubs.
₦90bn annual profit or one ₦90bn loan	Outside this model. Thin fees and one queue per pad cap earnings.
₦90bn+ annual revenue	Possible at ~20,000 doors that still do ~180 tx/day.
Weak sites (110 tx/day)	Do not scale. Break-even would be 286 tx/day. Location quality is binary.

Capital this year: raise and deploy **₦1.85 billion** into 350 counted kiosks. Order 10 OEM units first. Sign a bank when those kiosks have months of data. File for **₦8-12 billion** toward 2,000 only then.

2. Business Model

2.1 Concept

Each CashEase kiosk is an unmanned (or lightly attended) multi-service stop:

- accepts large Naira notes and dispenses smaller notes (coins only if stock exists);
- offers POS cash withdrawal;
- sells airtime, data and bill payment;
- later, screen advertising and, with the right licence, adjacent services.

The public customer is the cash-using worker: conductor, trader, artisan, commuter. The institutional customer is the **partner bank**, which wants float turn, non-branch reach, and help with agent/ATM density — without buying or maintaining the box.

2.2 Who owns what

Aspect	Owner
Kiosk hardware	CashEase — 100%
Site lease and brand	CashEase (optional co-brand with the bank)
Cash inside the cassettes	Partner bank, once the agreement is live
Settlement	Bank / NIBSS
Change fees	CashEase (minus any host share)
POS / acquiring fees	Target 60-75% CashEase / 25-40% bank
Relocation	CashEase after notice

Owning the estate keeps the fee stream, the collateral, and the right to move a dead site. The bank's role is **float and settlement**, which is what makes small notes solvable at 2,000 units (₦2.4bn of cash in the field at ₦1.2m per box).

2.3 Why the bundle

Note-breaking is why a conductor stops. A change-only fee (₦20–₦100) does not cover rent, CIT, insurance and depreciation unless traffic is extreme. POS cash-out and bills are already how Nigerian agent kiosks earn. CashEase adds a change cassette to that proven stop.

Planning mix: about **45% note-breaking / 40% POS / 15% airtime, bills, ads.**

2.4 What this plan is not

These are outside the operating design (they may appear later as options):

- selling machines to banks or the CBN;
- living on ATM-vestibule commission as the core estate;
- kiosk franchise to fund the first 2,000;
- a government endorsement as the commercial deal;
- four machines on one pad as the national template.

2.5 Value by party

Party	Why they participate
Public	Faster, safer small notes and cash-out on a trip they already make
Site host	Rent ± a small share; less “no change” friction for their own customers
Partner bank	Volume, float, non-branch footprint
CashEase	Daily fees, owned assets, a network that can be financed

2.6 SWOT

	Helpful	Harmful
Internal	Clear ownership; bundle matches how people already use agents; China OEM path is real	Cash logistics; theft; float until a bank line exists
External	Population-scale cash livelihoods, including the poor; new category; ATM/agent-density pressure on banks	Device classification; small-note scarcity; POS aggregators already on the best doors

3. Market

3.1 Demand thesis — population, the masses, a new category

The bet. Demand sits with the **ordinary majority**, including the poor. Nigeria’s population is the market’s strength. Most livelihoods still run on cash: fares, stalls, daily food, wages in notes. Poverty raises cash dependence; it does not remove the need to break a ₦1,000 for a ₦300 ride or a ₦200 purchase. A reliable place to get ₦100s and ₦200s is a mass convenience, not a middle-class gadget.

Why there is little kiosk data. A dedicated note-breaking kiosk is a **new category**. There is no 20-year series of “transactions per change machine.” That gap is **unbuilt infrastructure**, not missing pain. The pain is already on the ground. Agency cash-out showed that bottom-of-pyramid volume can support a terminal on a daily path. CashEase adds the cassette those paths still lack: small notes.

3.2 On-ground pains this business solves

These are the proof of **need**. They are visible every day without a kiosk P&L. Phase 1 measures **whether a box captures them as paid transactions** — it does not invent the pain.

Who	Pain on the ground	What the kiosk does
Bus / danfo / keke conductor	Passenger pays ₦500 or ₦1,000 for a ₦200–₦300 fare; no ₦100s; argument, delay, lost seat, or the conductor eats the difference	Breaks the note in seconds at the park gate
Trader / stallholder	Cannot make a small sale because they cannot break a large note; customer walks	Dispenses ₦100s/₦200s next to the stall belt
Artisan, hawker, daily-pay worker	Wages and purchases in mixed notes; spends the morning asking “do you have change?”	One stop on the walk they already make
Commuter	Misses a ride or overpays because nobody can break money; time lost in a shop that is not selling, only changing	Convenience without begging a stranger
Market / park as a system	Trade slows when small notes dry up; informal changers charge a harsh spread or disappear	Liquidity in use — ₦100s in the hand, not in a vault
POS cash-out user	Can withdraw but still cannot break for fare or pepper; the last-mile gap remains	Change cassette on the same pad as cash-out

The poor feel this **more**, not less: they live in cash, in small tickets, with no card to skip the problem. Population multiplies how often the pain happens. That **is** demand validation for the **job**. What no one has yet is a meter on a live CashEase door. That meter is the first 350 boxes on these same pains’ paths.

What population does. It supports **many** livelihood doors — parks, markets, busy petrol — because that is where these pains already occur. Each kiosk still serves **that door**, not 200 million people at once. The thesis is: stand where the pain already is; habit will thicken the queue. Phase 1 **is** how a new category is metered. It is not a claim that the pains are imaginary.

Pillar	What we take as given	What Phase 1 writes down
Mass cash need	Conductors, traders, artisans, commuters — including the poor	Tx/day, fee mix, peak hours on each pad
Population	National scale; Lagos-Ogun is a dense first belt	How many doors in the belt clear 89–180 tx/day
New category	No incumbent “change kiosk” chain	First category dataset for banks and BOI
Convenience	People use what is in front of them	Stocked hopper + path site → repeat use

Policy rhyme. Faster small-note circulation at the last mile is liquidity **in use**. That is a fair CBN/BOI story. It supports introductions and file language. The commercial meter remains the books on those doors.

Nigeria remains cash-plus-digital. Large notes are easy to get; small notes are not. People do not travel across town to break ₦1,000. They need ₦100s **while they are already** at the park, the stall, or the junction — where the pain already is. CashEase intercepts that trip.

3.3 Where the money is

The comparable business is the POS/agent kiosk that already earns in a prime spot — not a bank ATM lobby.

Layer	Meaning
Primary (Phase 1)	Cash-out and change at 50–150 prime Lagos/Ogun nodes on parks, markets, busy petrol
Secondary (Phase 2)	The same pattern in Ibadan, then Abuja, Kano, Port Harcourt, Onitsha
Later	More hubs if Phase 2 unit economics hold

Site work starts with **pain counts**: how often in two weeks someone asks for change, loses a fare, or walks from a stall for lack of ₦100s — then CBN denomination mix and acquirer cash-out in that LGA.

3.4 Pricing

Nigerians already pay ATM surcharges and agent fees. ₦20–₦100 to break a note and ₦50–₦200 for POS cash-out are in-market **if** the alternative is a hunt for ₦100s. Pricing dies if the cassette is empty, a human agent next door is cheaper, or the site is a mall with working ATMs.

3.5 Competition

Competitor	Implication
Moniepoint, OPay, PalmPay, bank agents	Sit in the same doors. Differentiate with the change module and owned hardware; partner for acquiring
Informal changers	Instant and flexible. Win on reliability, hours, and having stock
Bank ATMs	Dispense larger notes; poor small-note mix. Adjacent job, not the same pad

3.6 Regional expansion

Other African currencies are out of scope until Nigeria has a working 2,000.

4. Product, Technology & Supply

4.1 Minimum viable kiosk

Function	Requirement
Accept	₦200, ₦500, ₦1,000 (and ₦100 if supported) with UV/MG/IR checks
Dispense	₦50 / ₦100 / ₦200 / ₦500 cassettes; coin hopper optional — do not depend on coins
POS	Certified PED or Android POS via a licensed acquirer
Power	Solar + battery for 12–16 hour market days
Security	Safe, sensors, cameras, GPS, remote inhibit, limited cassette value
Software	Naira maps, remote cassette levels, lockout, reconciliation, bilingual UI
Uptime target	95% (planning models 92%)

Planning unit cost: **₦3.5 million** landed and configured, plus **₦0.35 million** site fit-out. Stress uses ₦4.5m + ₦0.45m. Upside uses ₦3.0m + ₦0.30m.

4.2 OEM

Chinese manufacturers already ship validators and kiosks into Africa. The work is Naira firmware SLAs, a Lagos spare pool, 12–16 weeks first-batch lead time, and FX (20–30% naira slide sits in stress CapEx).

Procurement gate: 5–10 prototypes → 30–50 pilot → balance of the 350. No 2,000-unit purchase order before Phase 1 data and a bank cash line.

4.3 Software

Custom software runs denominations, telemetry and reconciliation. Licensing that stack to others is a Year 4 option after 2,000 machines have clean logs. It is not a second company in Phase 1.

5. Locations, Cash & Operations

5.1 Location is the business

Planning assumes **180 paid transactions per up day**. Stress at 110 tx/day and ₦120k rent never breaks even. That is a door result.

Phase 1 site types

- Wholesale and retail markets (Mile 12, Oshodi, Tejuosho, Balogun-type nodes)
- Motor parks and last-mile junctions — conductors and traders
- Busy fuel stations on those corridors
- Campus gates
- Hospital approaches only if a weekday count supports it

How a site is taken

1. Count three day-parts for two weeks. Record existing POS/ATM and “do you have ₦100s?” events.
2. Written lease: ₦50k–₦200k/month plus optional 5–10% of site-attributable net; short performance guarantee for the host if useful.
3. Market association / park leadership; LGA; budget “area” cost honestly.
4. Fix the POS geotag.
5. 12–36 month occupancy with relocation rights.

Budget **₦100k–₦300k** per prime site for deposit and extra fit-out. Do not open the 50th site until the first 10 have four weeks of data.

You rent like any shop. You do not need a bank vestibule or a government plot. You also do not rent “anywhere”: the majority need change, but they use whatever is **in their path**.

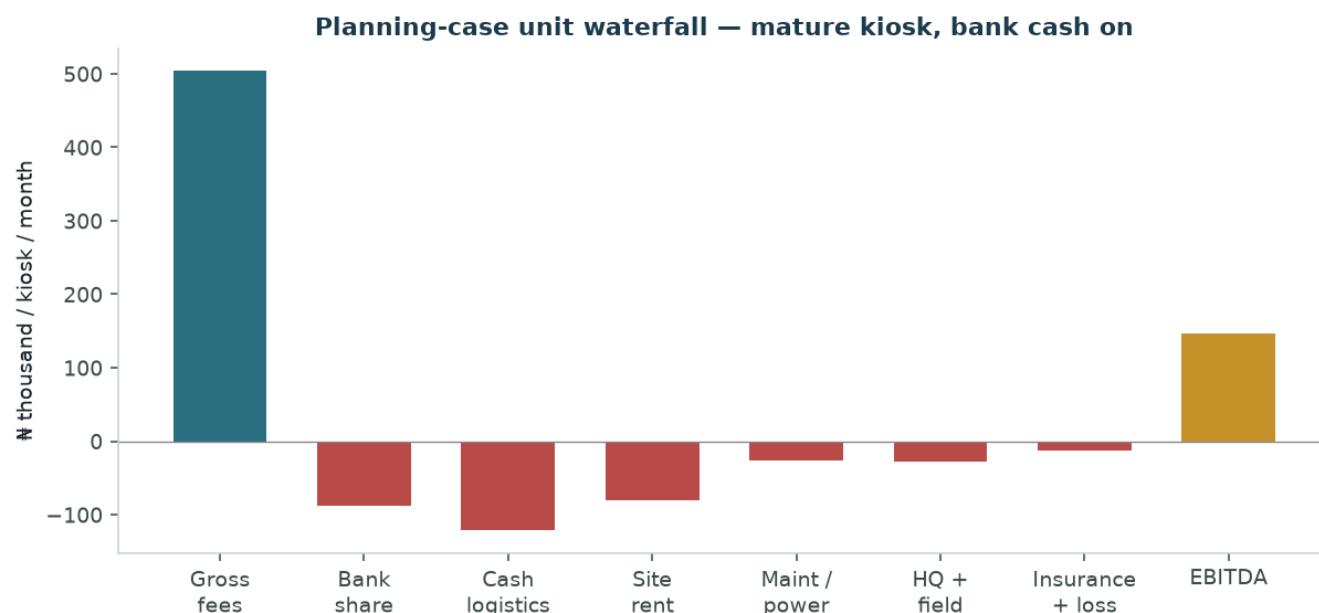


Figure: After logistics, rent, bank share and field cost, there is no 50% net margin. Throughput has to be real.

5.2 One queue, many doors

The plan is **many machines in one corridor**, each on its **own** pitch — not one machine for all of Lagos, and not four machines on one slab.

Setup	In the plan?
Dozens of boxes across Mile 12, Oshodi, parks, petrol on the same roads	Yes — Phase 1-2
Two boxes at opposite ends of a huge market	Often yes
Second box on the same pad after ~250+ tx/day and real queues	Yes, earned
Four side by side at one station, hotel or mall door	No as default

A 180 tx/day door with four machines is ~45 tx each — below the 89 tx break-even. Four boxes also put ~₦15.4m of hardware and ~₦4.8m of cash on one pad.

Default: one machine per site. Two is a promotion. Four is a named mega-node only.

5.3 Chain landlords

A master lease with a fuel-retail or hub chain (Total, MRS, Ardova, a bus-terminal or market company) is a **Phase 2 location channel**:

Place	Use
Petrol on market / park roads	Yes — one machine first
Parks, wholesale gates, junctions	Yes — one, then two if there is a queue
Malls	Maybe one at taxi rank / food-court cash line — not the ATM lobby

Malls rent cleanly. They are often weak for change because ATMs and cards already sit there.

5.4 Hotels and service amenities

Hotels and salons want a guest USP. CashEase needs 180 cash transactions a day.

	Volume site (core)	Amenity site (overlay)
Who	Markets, parks, busy petrol	Hotels, salons, cinemas, offices
Why they say yes	Rent / small share	Convenience for their customers
Why CashEase says yes	Queue all day	They pay placement , or a two-week count is exceptionally strong

A lobby at 30–60 hits a day loses money unless the host pays. Keep amenity sites a small slice after the volume estate works. Never let them pull fleet-average traffic under 150 tx/day.

5.5 Operators, not franchise, for the first 2,000

Hosts already get rent ± 5–10%. That is the local partner.

Classic franchise (someone else buys the box and pays a royalty) splits cash control, small-note supply, and BOI collateral. Banks want one licensed operator. **Phase 1-2: own and operate.** After a working 2,000, hired operators or one **city operator** under the company licence — CashEase still owns the machines; float stays bank → company → cassette.

5.6 Cash and small bills

CBN depots serve banks and licensed CIT, not a private kiosk company.

- Phase 1:** self-fund **₦1.2 million** per kiosk, weighted to ₦100/₦200/₦500. Recycle small notes taken in.
- From Year 2:** a partner bank supplies most of the float (planning: CashEase still funds 35% at 2,000 units, falling toward 15% at large scale).

3. **Replenishment SLA:** e.g. 40% ₦100/₦200, ₦50 if available, rest ₦500.

4. Design around ₦100–₦500, not vanished coins.

5. Match cassette limits and CIT to agent cash-out rules in force.

If the hopper is ₦500s, the conductor walks away and the majority demand never hits the machine.

5.7 Cadence and security

Rhythm	Action
Continuous	Telemetry on cassettes, jams, power, GPS
Daily	Exception CIT; reconcile; AML flags
Weekly	Planned CIT; denomination rebalance; host check-in
Monthly	Site P&L; relocate the bottom decile
Quarterly	OEM parts; acquirer fees; circular check

Staffing in the model: one technician per 40 kiosks, one monitor per 80, plus HQ.

Planning puts **1.2% of gross** in theft/loss and **1.6% of machine+float** in insurance. Caps, CIT, insurance that pays on market theft, and a **72-hour pull right** are operating rules, not appendix colour.

6. Banks, Regulation & Policy

6.1 Device class

Classification	Phase 1 stance
Kiosk + POS via a licensed acquirer	Start here
PTSP	File as the fleet grows beyond a handful of partner terminals
IAD	Only if the product is an ATM in CBN's eyes
Bank / MFB	Out of scope

Counsel classifies the transaction set **before** 350 units are paid for. Marketing does not call the box an ATM replacement unless it is one.

6.2 The bank deal

Signing a bank for **cash and settlement after 300–500 live kiosks** is a normal IAD/PTSP path. Signing one on Day 1, with no volumes, is early. Vestibule placement can appear later as an extra site with a hard share cap; it is not the estate.

Negotiate in writing: ownership stays with CashEase; replenishment cadence and mix; 3–5 year term; 70% + operator share as the opening ask; exit if cash SLAs fail.

A sample proposal is in [Appendix B](#).

6.3 Policy

CBN can recognise, sandbox, or make it easier for banks to load small notes. It does not buy kiosks, fill cassettes, or lend ₦90 billion to this company. A supportive letter helps a BOI file. The contracts that run the business remain: **host, bank, then investors/BOI**.

7. Growth Roadmap

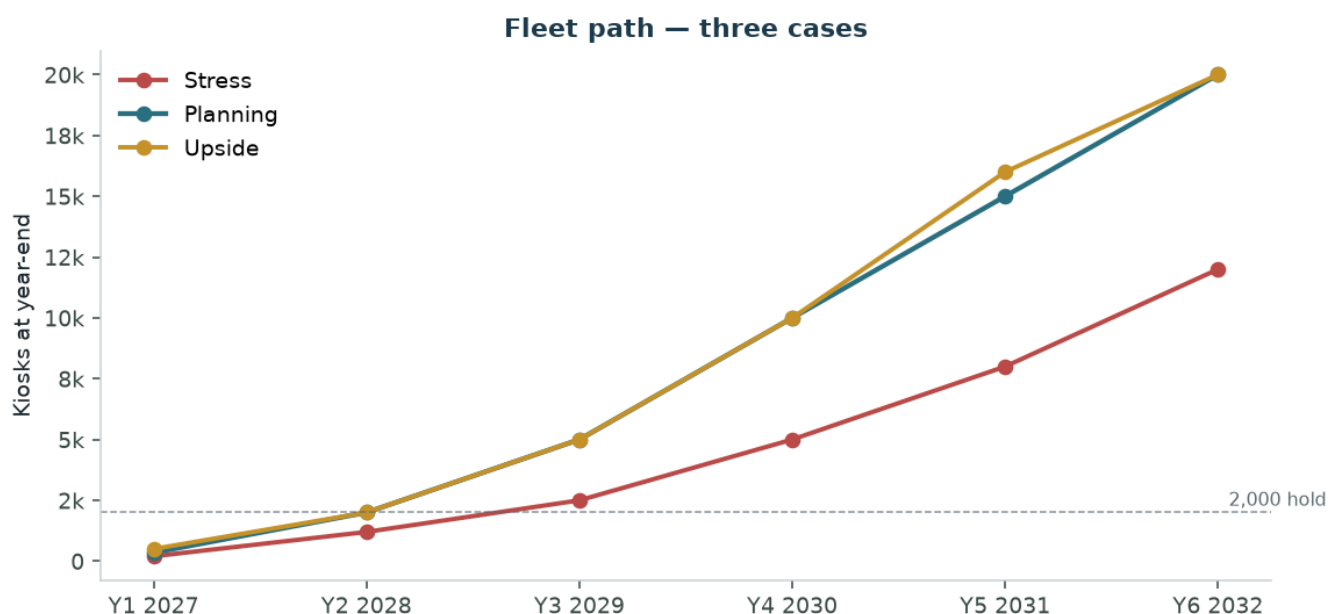


Figure: Planning fleet 350 → 2,000 → 5,000 → 10,000 → 15,000 → 20,000. Stress grows slower and loses money. Upside starts at 500 and reaches 20,000 in Year 6 if traffic is fatter.

7.1 Phases

Phase	When	Fleet (year-end)	Purpose	Gate
0 — Prototypes	Months 0–4	5–10	OEM and Naira firmware	60-day uptime ≥ 90%
1 — Proof	Y1 (2027)	350	Livelihood-path sites, self-funded float	Median ≥ 150 tx/day; theft < 2%; 6 months of books
2 — Repeatable	Y2 (2028)	2,000	Bank cash line; Lagos-Ogun-Ibadan density	Bank SLA; unit EBITDA on plan; DSCR for any facility
2b — National core	Y3 (2029)	5,000	Abuja, Kano, PH, Onitsha	Two banks or bank + CIT
3 — Option	Y4–Y6	10,000–20,000	Only if planning unit economics still hold	Facility sized to DSCR ≥ 1.25×

7.2 Phase 1 calendar

Window	Work
Months 0–2	Incorporate; counsel memo; acquirer term sheet; OEM shortlist; 30-site longlist
Months 2–4	5–10 units land; workshop; two live sites; insurance
Months 4–8	30–50 unit pilot; first 15 leases; PTSP/acquirer filings
Months 8–12	Scale to 350 if medians hold; bank conversations with data
Year 2 H1	Bank cash agreement; Phase 2 batch against that agreement

7.3 Nationwide

Nationwide is how a 5,000–20,000 fleet is **housed**. It does not raise profit per box.

Nigeria has more than 20,000 busy places. The plan needs 20,000 **CashEase doors** — pads that still clear ~89 tx/day after agents and informal change. That subset is counted, not assumed from the map.

Win one corridor, then copy hubs. A second bank or national CIT is in place before vans leave the first belt.

7.4 Path to 20,000

Stage	Fleet	Money	Gate
1	350	₦1.85bn equity	OEM trial; site counts
2	2,000	₦8–12bn BOI/club	Median $\geq$ 150 tx/day; bank SLA
3	5,000	Next ₦15–25bn	Four clean quarters at 2,000; DSCR $\geq$ 1.25×
4–5	10,000 → 20,000	Further tranches + retained profit	New cities still near 180 tx/day

Hardware on planning assumptions is about **₦3.85m × 20,000 ≈ ₦77bn** over six years. Float is about **₦24bn** in the field — mostly the bank's. If Stage 1 or 2 misses, the company stops at the last working scale. That is by design.

8. Financial Plan

Three unlevered cases share 30% CIT + 3% education tax on PBT, five-year straight-line on machines and fit-out, and a 22% discount rate.

Assumption	Stress	Planning	Upside
Year-end fleet Y1→Y6	200–1,200–2,500–5,000–8,000–12,000	350–2,000–5,000–10,000–15,000–20,000	500–2,000–5,000–10,000–16,000–20,000
Tx / up day	110	180	225
Uptime	85%	92%	93%
Blended fee	₦70	₦100	₦115
Gross / kiosk / month	₦199k	₦504k	₦732k
Bank share (from Y2)	38% of 70% of gross	32% of 55% of gross	30% of 50% of gross
Logistics	32% of gross	24%	22%
Site rent / month	₦120k	₦80k	₦70k
Unit CapEx (hw + fit-out)	₦4.95m	₦3.85m	₦3.30m
Theft / loss	3.5% of gross	1.2%	0.8%

Planning is the go / no-go case. Stress is weak doors. Upside is fatter traffic and fees on the same model.

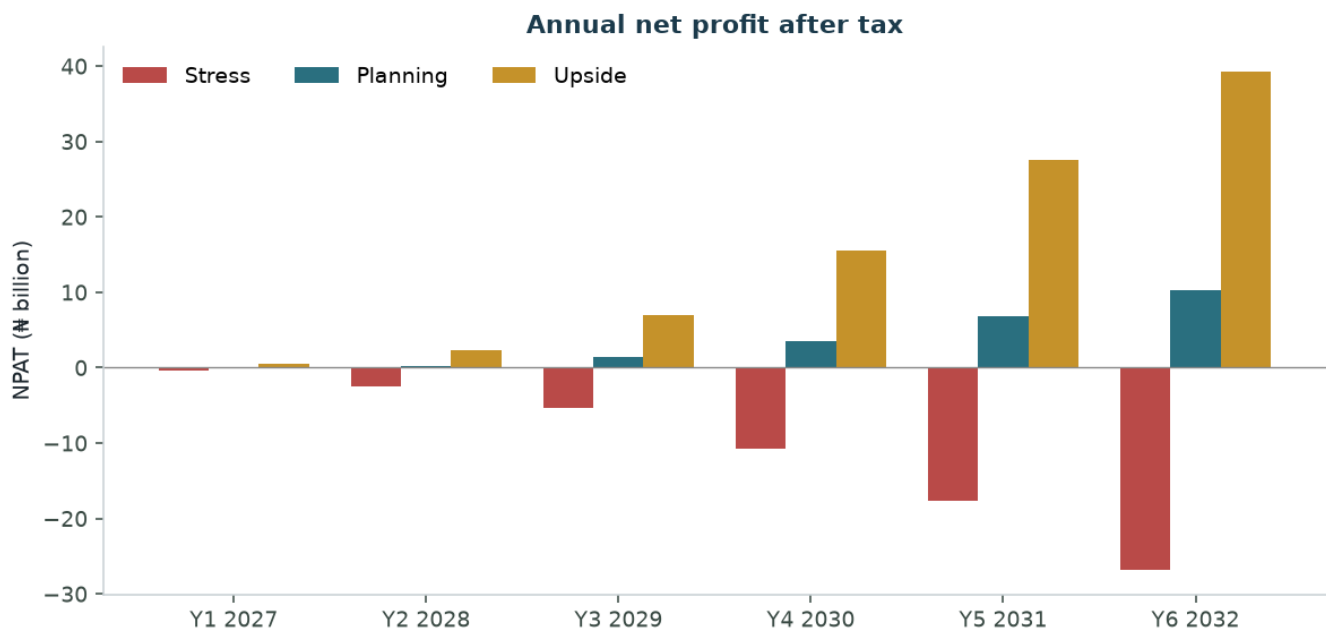
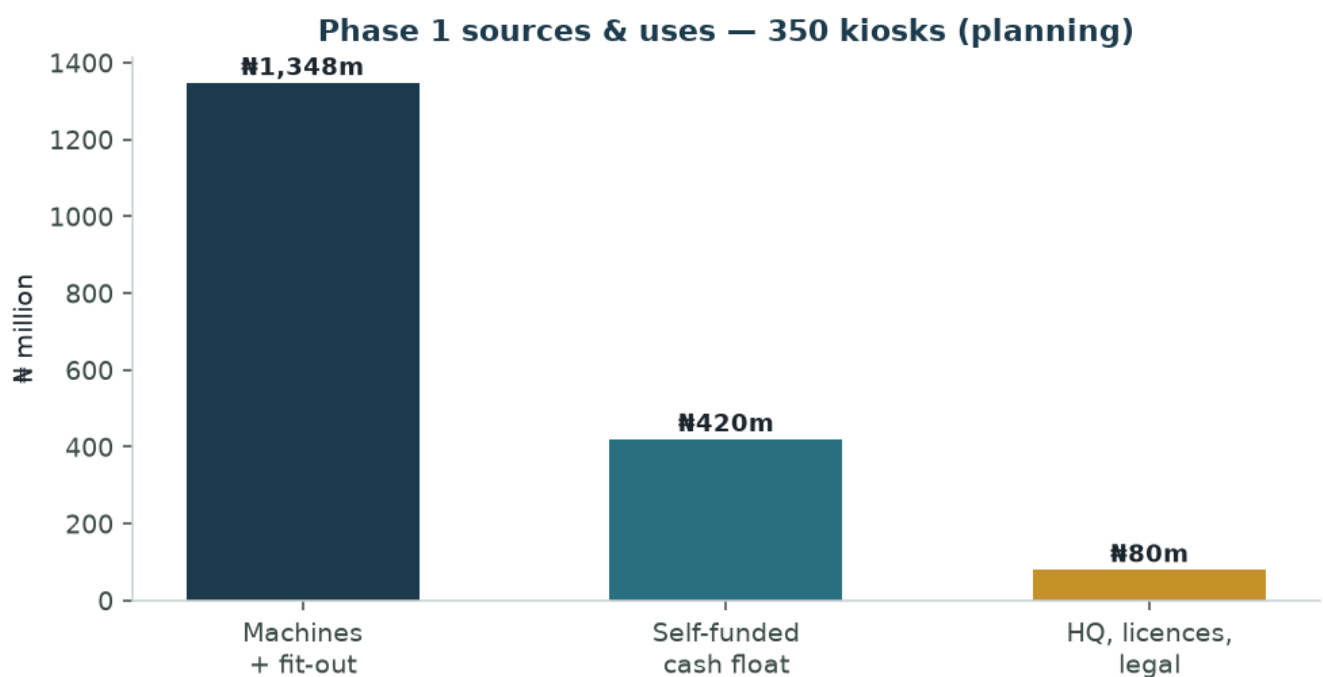


Figure: Stress loses money at every scale. Planning is profitable at 2,000 and beyond. Upside is the fat-traffic case.

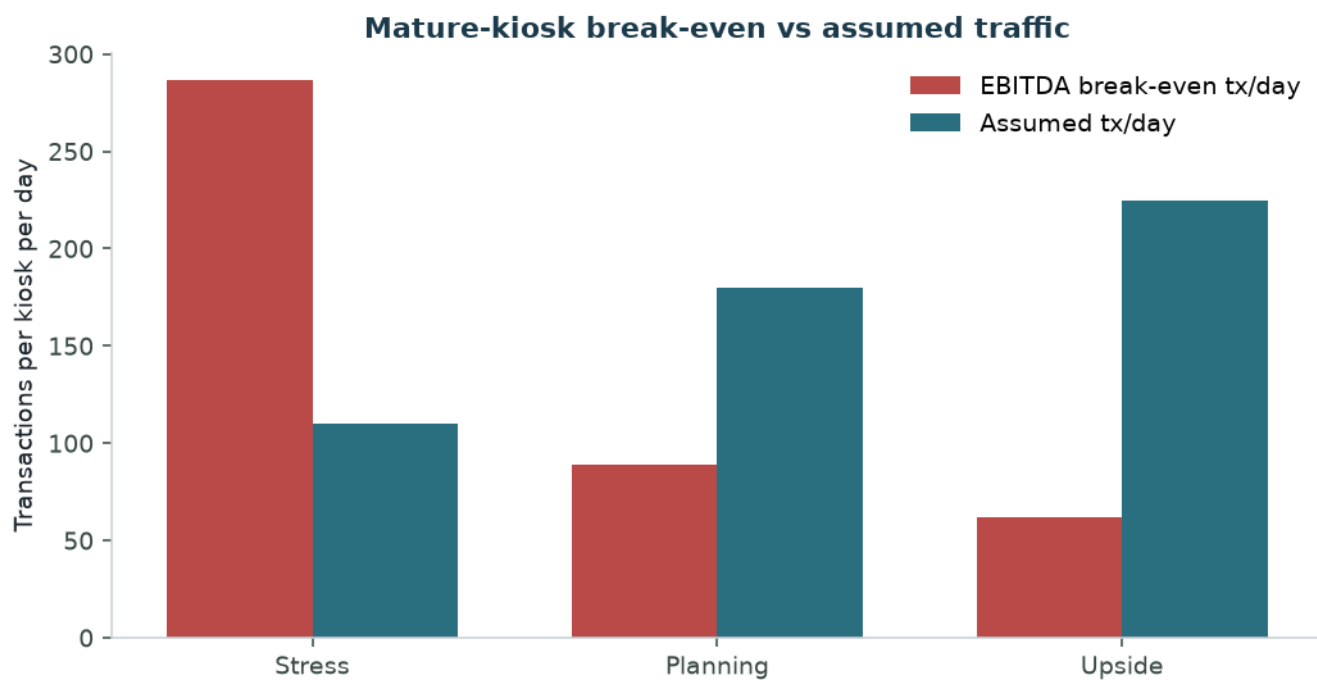
8.1 Phase 1 sources and uses (planning)

Use	₦
350 × ₦3.85m machines and fit-out	1.35 billion
350 × ₦1.20m self-funded float	420 million
HQ, licences, legal, first insurance	80 million
Total opening equity	1.85 billion



Fund with equity. A development bank will ask for the data Phase 1 is meant to produce.

8.2 Break-even



	Stress	Planning	Upside
EBITDA break-even (tx/day, bank share on)	286	89	62
Assumed tx/day	110	180	225
Margin of safety	-160%	+51%	+72%

Planning has a real cushion **if** 180 transactions happen. Stress has none. Site selection is a binary risk.

Planning revenue mix — multi-service kiosk

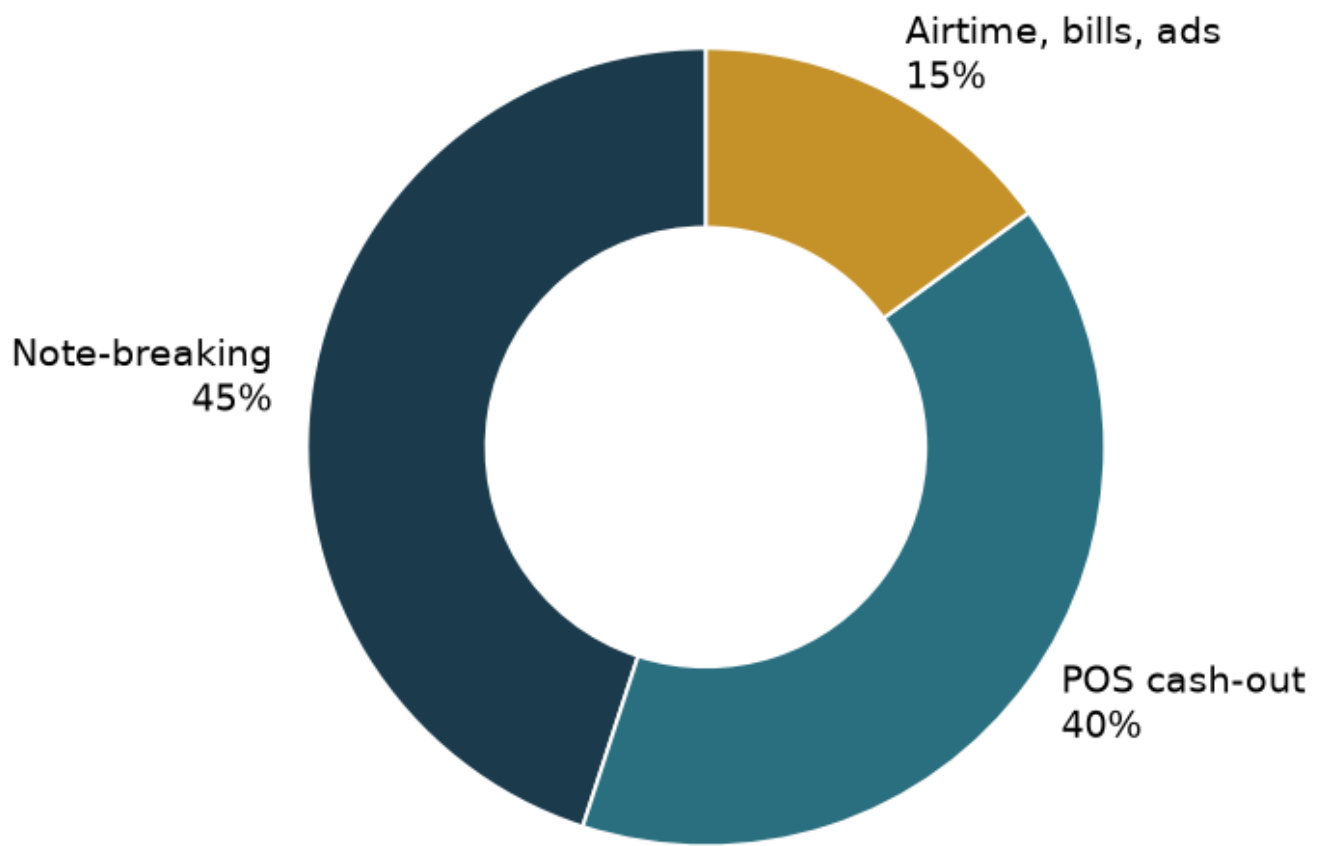


Figure: About 45% note-breaking, 40% POS, 15% airtime/bills/ads. Change is the stop; POS is the volume engine.

8.3 Six-year unlevered P&L (planning — path that can reach 20,000)

Year	Fleet (end)	Gross	EBITDA	NPAT	FCF	NPAT margin
Y1 2027	350	₦1.06bn	₦0.35bn	₦0.05bn	₦0.32bn	5.0%
Y2 2028	2,000	₦7.10bn	₦1.85bn	₦0.21bn	–₦5.02bn	3.0%
Y3 2029	5,000	₦21.16bn	₦5.88bn	₦1.38bn	–₦6.98bn	6.5%
Y4 2030	10,000	₦45.33bn	₦12.83bn	₦3.48bn	–₦8.97bn	7.7%
Y5 2031	15,000	₦75.56bn	₦21.64bn	₦6.85bn	–₦1.15bn	9.1%
Y6 2032	20,000	₦105.78bn	₦30.45bn	₦10.22bn	₦5.47bn	9.7%

Y2–Y5 free cash flow is negative while machines are bought faster than they earn. That is why a sprint to 20,000 on equity alone has a **–₦11.6 billion** NPV at 22% even though Year 6 NPAT is ₦10bn. Scale is not the same as value. The plan therefore **holds at 2,000** until debt and traffic justify the next step.

8.4 Hold cases — what a lender can discuss

Path	6-year IRR	NPV @ 22%	Role in the plan
Hold 350	11.1%	−₦448m	Proof engine
Hold 2,000	21.2%	−₦89m	First operating scale (~₦1.2bn NPAT/year)
Hold 5,000	19.1%	−₦571m	Next hub scale if 2,000 holds
Sprint 20,000 unlevered	n/m	−₦11.6bn	Not how the plan funds itself
Upside sprint 20,000	84.5%	+₦18.2bn	If 225 tx/day and ₦115 fees hold fleet-wide

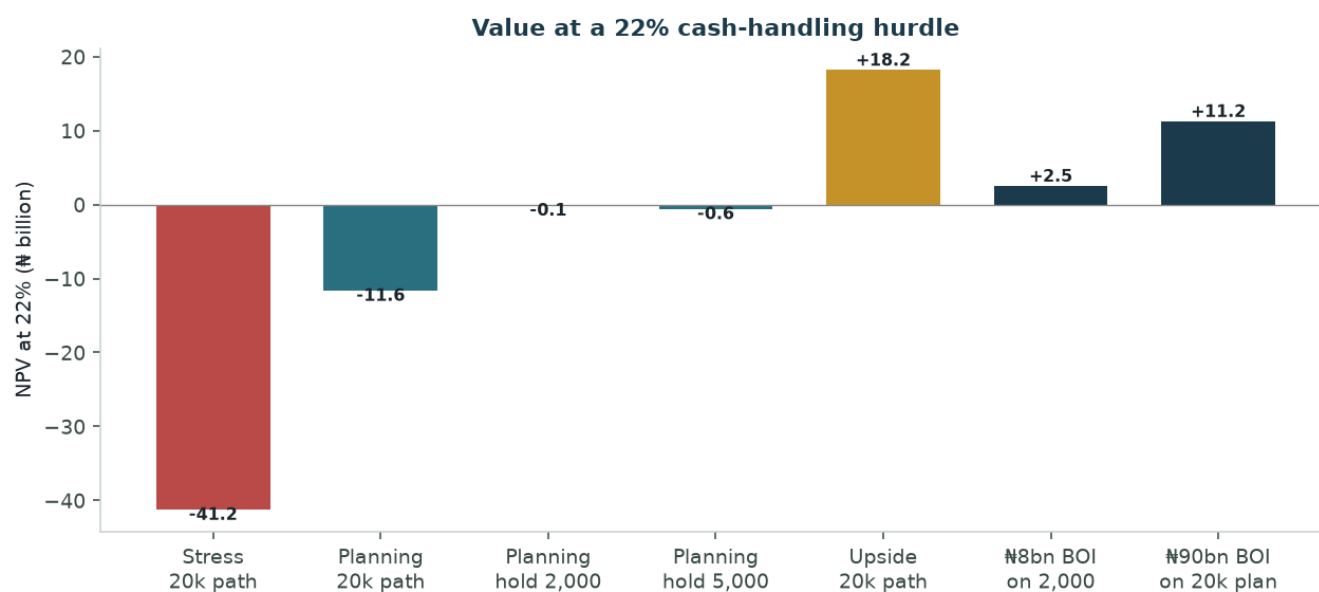


Figure: Value shows up when growth is paced or when a right-sized facility funds a 2,000 hold.

8.5 Upside case

If the fleet does 225 tx/day at ₦115 with leaner costs, Year 6 NPAT is **₦39.3bn** on ₦158bn gross. That is the fat-traffic case for the same business, not a different model.

9. Funding

9.1 Sequence

1. **Equity ₦1.85bn** — 350 kiosks.
2. **After 6-12 months of books** — BOI or a bank club, **₦8-12 billion**, machines as collateral, cash-supply bank in the room, step to 2,000.
3. **After four clean quarters at 2,000** — a second tranche in the ₦15-25bn class only if traffic is on plan and combined DSCR stays $\geq 1.25\times$.
4. **Larger syndicate** — only once 5,000 kiosks exist.

Facilities in the model: 9% interest, amortisation from Year 3.

Facility	Against	Equity NPV @ 22%	Minimum DSCR	Credit read
₦8bn in Y2	Hold at 2,000	+₦2.50bn	1.96×	Sized for Phase 2
₦25bn in Y2	Hold at 5,000	+₦7.35bn	0.82×	Tight for planning cash flow
₦15bn + ₦15bn	Hold at 5,000	+₦7.94bn	0.91×	Still tight
₦90bn on a 20,000 sprint	Full path	+₦11.25bn	0.46×	Does not service on planning traffic
₦90bn on upside traffic	Full path	+₦42.4bn	1.06×	Barely 1× — not a comfortable DFI credit

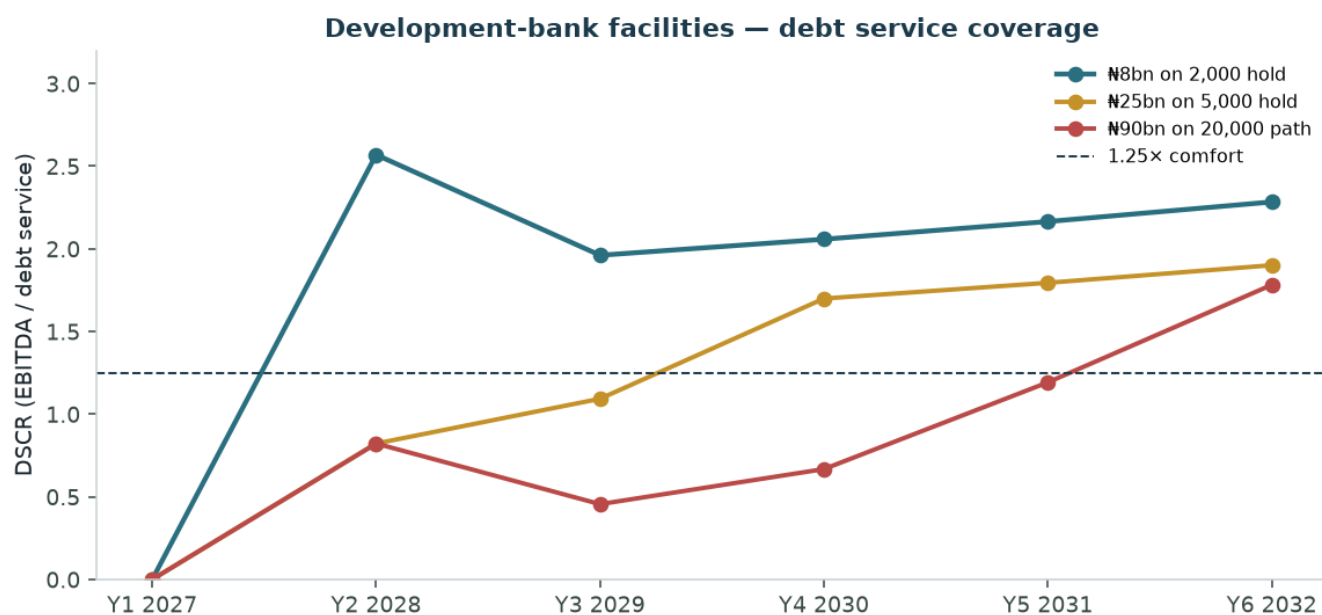


Figure: The ₦8 billion facility on a 2,000-kiosk hold clears a 1.25× comfort line. A ₦90 billion ticket on a 20,000 sprint does not.

9.2 Institutions

Institution	Role
Promoter / angels / small strategic	Phase 1 equity
Commercial bank	Cash float, settlement, later co-lender
Bank of Industry	Best DFI fit after 300–500 live kiosks: longer tenor, machines as collateral
CBN	Regulator and possible recognition — not a lender to this company
DBN	Unlikely as a large direct ticket

9.3 What ₦90 billion means on this plan

The cap on ₦90bn **profit** or a **₦90bn single loan** is the model: thin fees, one queue per pad, rent, CIT, bank share. Nigeria has enough busy areas; it does not automatically have 20,000 fat CashEase pitches.

If ₦90bn means...	On this plan
One loan	Not as a first ticket. ₦8–12bn after 350, then tranches.
Yearly profit	Planning ~₦1.2bn at 2,000; ~₦10bn at 20,000 good machines; upside ~₦39bn.
Yearly revenue	~₦12bn at 2,000; ~₦106bn at 20,000 × 180 tx/day — earned, not Year 1.
Company value	Only after years of held profits.

10. Cost-Benefit

Stage	Cost	Benefit if gates pass
350	₦1.85bn equity	Proof; ~₦0.5m gross / box / month; bank will talk; owned assets
→ 2,000	₦8–12bn facility	~₦1.2bn NPAT/year; loan at ~2× DSCR — best risk-adjusted scale
→ 5,000	Next ₦15–25bn	National core if 180 tx/day still holds
→ 20,000	~₦77bn hardware over years + ~₦24bn cassette cash (mostly bank)	Option on ~₦106bn revenue / ~₦10bn NPAT

Who keeps the benefit: CashEase (change fees + ~60–75% of POS; the boxes); bank (~25–40% of POS and the float); host (rent ± 5–10%).

10.1 How to maximise gain

1. Put money into **doors**, not OEM volume. Kill the worst 10% of sites monthly.
2. Keep change cheap enough to stop the conductor; push POS and bills on the same screen.
3. Own the box, rent the cash; hold 70%+ of POS.
4. Add machines only when the last 50 are above 150 tx/day.
5. Uptime ≥ 92%; theft < 2%; ₦100–₦500 in the hopper.
6. Borrow **₦8–12bn** when 2,000 is the next step — not ₦90bn on a map.

11. Risk

Risk	Likelihood	Impact	Mitigation
Weak sites	High if rushed	Fatal	Two-week counts; kill bottom decile; cap Phase 1 at 350
Small-note scarcity	High	High	Bank mix SLA; ₦100–₦500 design; recycle
Theft / vandalism	High	High	Caps, CIT, insurance, 72-hour pull
Device reclassified as ATM	Medium	High	Counsel before OEM scale; IAD file ready
Bank or acquirer walks	Medium	High	Two acquirers by 500 kiosks; SLA penalties
FX on OEM batches	High	Medium	Quote in USD/RMB; 20% buffer; no 2,000 PO before data
POS giants add a change module	Medium	Medium	Speed on leases and telemetry
Over-ordering	High	Fatal	Board: no facility > 1.5× next-24-month capex
Digital payments thin cash-out	Medium (slow)	Medium	Bundle bills/airtime
Counterfeit	Medium	Medium	Validator grade; cassette quarantine

The model fails from **doors and cash logistics**, not from an inability to source a kiosk. The second failure mode is buying a national grid before 350 boxes have books.

12. Environmental, Social & Governance

12.1 Environmental

Solar-first kiosks; CIT vans are the larger footprint — hence density in Lagos/Ogun first. OEM take-back for validators and batteries.

12.2 Social

Small-note access on livelihood paths. Jobs at 2,000 units in tech, monitoring, CIT and HQ. Host rent is part of the licence to operate. AML/CFT via the acquirer: thresholds, geotag, screening.

12.3 Governance

Single-purpose Ltd. Reserved matters: debt above ₦2bn, OEM POs above 50 units, device-class change. Monthly kiosk P&L to the board. External audit from Year 1. All machines are company assets.

13. Implementation

#	Action	Owner	Timing
1	Incorporate; audit file; counsel memo (kiosk vs ATM vs IAD)	Promoter + counsel	Month 0-1
2	Shortlist two OEMs; order 10 units	Promoter	Month 1-2
3	Two-week counts on 40 livelihood-path sites; sign ≤ 15 leases	Operations	Month 1-3
4	Acquirer term sheet	Promoter	Month 2
5	Run 10 units 60 days	Operations	Month 4-6
6	If medians ≥ 150 tx/day, complete 350 (₦1.85bn total uses)	Board	Month 6-12
7	Bank partnership on live volumes (Appendix B)	Promoter	Month 9-15
8	BOI/club file for ₦8-12bn , 2,000-kiosk hold	Finance	After 6-12 months of Phase 1
9	5,000 and a second tranche after four quarters at plan	Board	Year 3

CashEase is a **Nigerian multi-service cash-kiosk operator that owns its boxes and rents its float from banks**. It intercepts the majority's daily need for small notes on paths they already walk. It rents like a shop: many doors in one belt, **one machine per pad**.

Raise **₦1.85 billion**, build **350**, then borrow for **2,000**. Nationwide hubs and any **₦90 billion** turnover story are earned after those doors print.

14. Appendices

A. Glossary

Term	Meaning
Change / note-breaking	Accepting a larger Naira note and dispensing smaller notes
CIT	Cash-in-transit
DSCR	EBITDA / (interest + principal)
IAD	Independent ATM Deployer
NIBSS	Nigeria Inter-Bank Settlement System
NPAT	Net profit after tax
PTSP	Payment Terminal Service Provider
Planning case	Go / no-go assumptions
Stress case	Weak sites, expensive float, high theft
Upside case	Fatter traffic and fees on the same model

B. Sample bank partnership proposal

Send when Phase 1 data exist. Replace brackets.

To: Agency Banking / Digital Channels, [Bank]

From: CashEase Nigeria Ltd

Re: Agency partnership — cash provisioning and settlement for multi-service kiosks

Ask. A formal agency agreement under which the bank supplies mixed-denomination cash (including ₦50/₦100/₦200 as available) and NIBSS settlement for an initial **[300-500]** CashEase-owned kiosks in Lagos and Ogun, scaling to **2,000** within 18 months if SLAs hold.

What we own. All kiosks, site leases and brand.

What we need. Cassette cash, denomination mix SLA, settlement, compliance channel. We deploy, maintain, insure and geotag.

Economics (opening ask). 60-75% of eligible POS/acquiring economics to CashEase; change fees to CashEase; site rent on us. Co-brand optional.

Why it helps the bank. Non-branch cash footprint, float turn, volume, density without buying the hardware.

Attachments (when live). 13-week kiosk P&L, uptime, fraud/theft, denomination shortages, machine specs, insurance, CAC/KYC, counsel memo on device class.

C. BOI file outline (after Phase 1)

Use with **300-500 live kiosks** and an audit.

1. Sponsor, ownership, reserved matters
2. Regulatory memo and licences
3. Bank cash agreement (signed or near-final)
4. Fleet register and valuations (collateral)
5. 12-month accounts and kiosk cohort P&L
6. Use of proceeds: machines, fit-out, residual self-float — no 20,000-unit PO
7. Planning, stress, and hold-at-2,000 cases
8. DSCR, collateral cover, insurance
9. Jobs and inclusion (livelihood-path sites)
10. Requested ticket: **₦8-12 billion**, 7-10 years

D. Model files

File	Role
model/financial_model.py	Six-year three-case model, hold cases, BOI overlays, break-even
model/generate_charts.py	Figures in charts/
model/build_pdf.py	Rebuild CashEase_Feasibility_Study.pdf
model/outputs/model_results.json	Full numeric dump
model/outputs/*_annual.csv	Annual extracts

```
python3 model/financial_model.py
python3 model/generate_charts.py
python3 model/build_pdf.py
```

Discount rate 22%. Tax 32.1% of PBT. Fleet paths and unit assumptions are in SCENARIOS inside financial_model.py.

E. Document control

Version	Date	Notes
2.0	18 Aug 2026	Standalone plan: verdict as the opening design; livelihood-path demand; measured scale
2.2	18 Aug 2026	On-ground pains as demand validation; kiosk tx/day as the meter, not the proof of need

Next refresh triggers: counsel memo received; 60-day OEM trial closed; first 15-site counts complete; any circular on IADs, agent cash caps or POS geotagging.